Financial Statements of a Company

Accountancy | Book 3 | Chapter 9 | Revision Notes

Financial Statements: Introduction

- **Financial statements** show the financial position of a business: an organised collection of data prepared by logical, consistent accounting procedure.
- They comprise the **Balance Sheet** (position statement), **Statement of Profit & Loss** (income statement), a **Statement of Changes in Equity** and a **Cash Flow Statement**.
- Prepared to present a periodic review of progress made by management and the status of investment and results achieved in the period.

Objectives

- Give a **true and fair view** of the affairs of the business.
- Provide financial information about the business.
- Provide useful information to management for economic decisions.
- Provide useful information to investors and creditors.
- Help users predict, compare and evaluate results and position.

Users of Financial Statements

User	Why they need it
Internal	
Owners / Shareholders	Profit/loss, financial position and future prospects; they bear the risk of capital.
Management	Planning and controlling; improve efficiency and profits.
Employees	Good relations, job security, profit-sharing schemes.
External	
Creditors	Security of the amount lent; fate depends on the concern's prosperity.
Potential investors	Profitability data before deciding to invest.
Consumers	Idea of price and profit margin (cost + reasonable profit).
Government	Sales tax, profitability, national income, growth rate of industry.
Competitors	Profitability of a rival business.
Taxation authorities	Information for tax purposes.
Stock exchanges	Listing of securities and stock dealings.
Trade associations	Working results of member units; negotiate concessions with govt.
Newspapers	Publishing for general public knowledge.

Pro-forma Statement of Profit & Loss

As per Part II of Schedule III, Companies Act 2013

Particulars
1 Revenue from operations
2 Other income
3 Total revenue (1 + 2)
4 Expenses:
(a) Cost of materials consumed
(b) Purchases of stock-in-trade
(c) Changes in inventories
(d) Employee benefits expense
(e) Finance costs
(f) Depreciation & amortization expense
(g) Other expenses
Total expenses
5 Profit/(Loss) before exceptional & extraordinary items and tax (3 - 4)
6 Exceptional items
7 Profit/(Loss) before extraordinary items and tax (5 +/- 6)
8 Extraordinary items
9 Profit/(Loss) before tax (7 +/- 8)
10 Tax expense
11 Profit/(Loss) after tax (9 +/- 10)

Pro-forma Balance Sheet

As per Part I of Schedule III, Companies Act 2013

Particulars
A. EQUITY AND LIABILITIES
1. Shareholders' funds
(a) Share capital
(b) Reserves and surplus
(c) Money received against share warrants
2. Share application money pending allotment
3. Non-current liabilities
(a) Long-term borrowings
(b) Deferred tax liabilities (net)
(c) Other long-term liabilities
(d) Long-term provisions
4. Current liabilities
(a) Short-term borrowings
(b) Trade payables
(c) Other current liabilities
(d) Short-term provisions
TOTAL
B. ASSETS
1. Non-current assets
(a) Property, Plant & Equipment and Intangible assets: (i) PPE (ii) Intangible assets (iii) Capital WIP (iv) Intangible assets under development
(b) Non-current investments
(c) Deferred tax assets (net)
(d) Long-term loans & advances
(e) Other non-current assets
2. Current assets
(a) Current investments
(b) Inventories
(c) Trade receivables
(d) Cash and cash equivalents
(e) Short-term loans and advances
(f) Other current assets
TOTAL

Contingent Liabilities & Commitments

- Liabilities that are **not liabilities on the date** but may arise on a certain event.
- **Not added** to total liabilities; shown only as **footnotes (Notes to Accounts)**.
- Examples: disputed claims not acknowledged as debts, arrears of dividend on cumulative preference shares, bills receivable discounted but not matured, guarantees given, proposed dividend, uncalled liability on partly paid shares.

A. Shareholders' Funds

1. Share Capital - to disclose

- Number and amount of shares authorised.
- Number of shares issued, subscribed and fully paid; subscribed but not fully paid.
- Par value per share.
- Reconciliation of shares outstanding at start and end of period.
- Shares held by each shareholder holding **more than 5%**.
- Shares allotted fully paid for consideration other than cash.
- Shares allotted fully paid by way of bonus shares.
- Calls unpaid (aggregate value due from directors and officers).
- Forfeited shares (amount originally paid up).

2. Reserves and Surplus

- Capital reserves; Capital redemption reserve; Securities premium; Debenture redemption reserve; Revaluation reserve; Share options outstanding; General reserve; **Surplus** (balance in Statement of P&L).

Debit balance of P&L is a negative figure under 'Surplus'. After adjusting it, the total of 'Reserves and Surplus' is shown even if the result is negative.

3. Money received against share warrants

- A share warrant gives the holder the right to acquire equity shares. Money received is a **separate line item**, not part of share capital, as shares are yet to be allotted.

B. Share Application Money Pending Allotment

Applies when shares are issued but allotment falls after the balance sheet date.

- Money **not exceeding issued capital** and **not refundable**: shown under this line item.
- Money **refundable**, or where minimum subscription is not met: shown under **Other current liabilities**.

C. Non-current Liabilities

A liability is **current** if it satisfies **any one** of these; otherwise it is non-current:

- Expected to be settled in the **normal operating cycle** (if the cycle cannot be identified, assume **12 months**).
- Held for the purpose of being traded.
- Due to be settled within **12 months** after the reporting date.
- No unconditional right to defer settlement for at least 12 months after the reporting date.

Head	Includes
Long-term borrowings	Bonds/debentures; term loans from banks and others; deferred payment liabilities; deposits; loans from related parties; long-term maturities of finance lease obligations; other loans and advances
Other long-term liabilities	Trade payables; others
Long-term provisions	Provision for employee benefits; others

D. Current Liabilities

Head	Includes
Short-term borrowings	Loans repayable on demand from banks and others; loans from related parties; deposits; other loans and advances
Trade payables	Amounts due for goods purchased or services received in the normal course of business
Other current liabilities	Current maturities of long-term debt and of finance lease obligations; interest accrued but not due / accrued and due on borrowings; income received in advance; unpaid dividends; application money due for refund (with interest); calls in advance; unpaid matured deposits and debentures (with interest); other payables
Short-term provisions	Provision for employee benefits; others

E. Non-current Assets

1. PPE and Intangible Assets

- **PPE:** land, buildings, plant and equipment, furniture and fixtures, vehicles, office equipment, others.
- **Intangibles:** goodwill, brands/trademarks, computer software, mastheads and publishing titles, mining rights, copyrights/patents/IPR, recipes/formulae/models/designs/prototypes, licences and franchise, others.

2. Non-current Investments

- Held **to retain, not to resell**.
- **Trade investments:** shares/debentures of another company (not a subsidiary) to promote own trade. **Other investments:** all the rest.

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3. Long-term Loans & Advances

- Capital advances; security deposits; loans and advances to related parties; other. Sub-classified as (a) Secured, considered good; (b) Unsecured, considered good; (c) Doubtful.

4. Other Non-current Assets

- Long-term trade receivables (including deferred credit terms); others. Same three sub-classifications.

F. Current Assets

An asset is **current** if it is:

- Expected to be realised / sold / consumed in the **normal operating cycle**; or
- Held primarily for trading; or
- Expected to be realised within **12 months** of the reporting date; or
- Cash and cash equivalents (unless restricted for at least 12 months).

Head	Includes
Current investments	Equity instruments; preference shares; government/trust securities; debentures/bonds; mutual funds; partnership firms; others. Held to be converted to cash within 12 months
Inventories	Raw materials; work-in-progress; finished goods; stock-in-trade; stores and spares; loose tools; others. Goods-in-transit shown under the relevant sub-head; valuation mode stated
Trade receivables	Amounts due for goods sold or services rendered in the normal course. Show separately those outstanding for **over six months**; sub-classify secured / unsecured good / doubtful; allowance for doubtful debts disclosed separately
Cash & cash equivalents	Balances with banks; cheques and drafts on hand; cash on hand; others
Short-term loans & advances	Loans and advances to related parties; others (sub-classified as above)
Other current assets	All-inclusive heading: prepaid expenses, advance tax, accrued incomes, etc.

Deferred tax liability / asset is disclosed as a separate heading in the balance sheet.

Items in the Statement of Profit & Loss

A. Total Revenue

- **Revenue from operations** (non-finance company): sale of products, sale of services, other operating revenues, **less excise duty**.
- **Finance company:** interest and other financial services.
- **Other income:** interest income (non-finance company), dividend income, net gain/loss on sale of investments, other non-operating income (net of expenses).

B. Total Expenses

Expense	Explanation
Cost of materials consumed	Manufacturing companies: raw and other materials consumed in making goods
Purchase of stock-in-trade	Goods purchased for the purpose of trading
Changes in inventories	Difference between opening and closing inventory of finished goods, WIP and stock-in-trade
Employee benefit expenses	Salary, wages, leave encashment, staff welfare, PF and state insurance contributions, employee stock options
Finance cost	Interest expense, other borrowing costs, applicable net gain/loss on foreign currency transactions. **Bank charges** go to other expenses
Depreciation	Diminution in value of fixed assets (depreciation) and write-off of intangibles (amortization); both shown here
Other expenses	Everything not above: direct, indirect and non-operating expenses

Limitations of Financial Statements

- Based on **historical figures**; do not reflect current market value, inflation or change in value of money.
- Do not disclose loss of markets or cessation of agreements which vitally affect the enterprise.
- Based on conventions; assets may not realise stated values on forced liquidation (they show unexpired/unamortised cost).
- Show **aggregate** rather than detailed information, limiting use in decisions.
- Reflect personal judgments and accounting concepts, so **bias** may exist.
- P&L covers a specified period only; balance sheet is true only at that point in time. Neither shows earning capacity or future change.
- Contain **only monetary information**; ignore qualitative factors (industrial relations, climate, quality of work).

Analysis of Financial Statements

- **Financial statement analysis:** critical evaluation of the information in the statements to understand and decide on the firm's operations.
- **Analysis** = simplifying data by methodical classification. **Interpretation** = explaining its meaning and significance. The two are complementary.
- It identifies financial strengths and weaknesses by relating balance sheet and P&L items. Done by management or outsiders (owners, creditors, lenders, investors, unions, analysts).

Significance to Different Users

User	Focus
Finance manager	Managerial performance, efficiency, strengths/weaknesses, creditworthiness, continuity of policies, credit ratings
Top management	Success of operations, individual performance, internal control
Trade creditors	Short-term ability to pay obligations and future ability to meet them
Lenders	Long-term solvency and survival; profitability, cash to pay interest and principal; sources of funds
Investors	Present and future profitability, capital structure, earning and risk, management efficiency
Labor unions	Whether a wage increase can be afforded via productivity or higher prices
Others	Economists, researchers, govt. agencies (price regulation, taxation)

Tools of Financial Analysis

Tool	Meaning
Comparative statement	Two years compared; absolute and % change. A form of horizontal analysis
Common size statement	Single-year figures as % of a common base: **sales = 100** in P&L, **total assets = 100** in balance sheet
Trend analysis	Trend % over several years with one year as base year
Accounting ratios	Relationship between various items (ratio analysis)
Cash flow statement	Inflows and outflows of cash and cash equivalents in a period; causes of change in cash
Fund flow statement	Reasons for change in working capital; sources (inflow) and applications (outflow) of funds
Break-even analysis	Point where total revenue = total cost; no profit, no loss

Types of Analysis

Type	Meaning
External	By outsiders without access to detailed records; rely on published accounts, directors' and auditors' reports (investors, credit agencies, govt., research agencies)
Internal	By management, who have all the information; more detailed, extensive and accurate
Horizontal (dynamic)	Several years against a base year; time-series; long-term trends and planning. Eg: comparative statements
Vertical (static)	One year only; eg: ratio analysis. Compares companies or divisions of the same type
Intra-firm	Same enterprise over time (time series / trend analysis)
Inter-firm	Two or more firms to judge competitive position. Single set of statements of two firms = **cross-sectional analysis**

Quick Reference: Where Does It Go?

Item	Heading / Sub-heading
Proposed dividend	Contingent liability (Notes to Accounts)
Unpaid / unclaimed dividend	Current liab. / Other current liab.
Debentures	Non-current liab. / Long-term borrowings
Matured debentures	Current liab. / Other current liab.
Calls in arrears	Shareholders' funds / negative item (deducted from subscribed capital)
Calls in advance	Current liab. / Other current liab.
Forfeited shares	Added to subscribed capital
Provision for provident fund	Non-current liab. / Long-term provisions
Bills payable / Acceptances	Current liab. / Trade payables
Public deposits; Mortgage loan; Bank loan	Non-current liab. / Long-term borrowings
Outstanding salary	Current liab. / Other current liab.
Provision for tax	Current liab. / Short-term provisions
Interest accrued (due or not due) on loan	Current liab. / Other current liab.
Securities premium; General reserve; Capital reserve; Debenture sinking fund	Shareholders' funds / Reserves & surplus
Debit balance of P&L	Shareholders' funds / Reserves & surplus (negative)
Premium on redemption of debentures	Non-current liab. / Other long-term liab.
Authorised capital	Shown in Notes to Accounts (share capital note)
Uncalled liability on partly paid shares; Guarantees given	Contingent liability (Notes to Accounts)
Sundry debtors; Bills receivable	Current assets / Trade receivables
Patents, trademarks, goodwill	Non-current assets / Intangible assets
Shares in other companies; Govt. and trust securities; Investments (long-term)	Non-current assets / Non-current investments
Advances recoverable in cash	Current assets / Short-term loans & advances
Prepaid insurance; Interest accrued on investments	Current assets / Other current assets
Work-in-progress; Loose tools	Current assets / Inventories
Bank balance	Current assets / Cash & cash equivalents
Share issue expenses (written off within 12 months)	Current assets / Other current assets
Share issue expenses (written off after 12 months)	Non-current assets / Other non-current assets
Preliminary expenses	Not shown; written off in the year incurred (AS 26)

Operating Cycle Rule

Asset: Current if payment is received **within** the operating cycle or **within 12 months**, whichever is longer; otherwise non-current.
Liability: Current if settled **within** the operating cycle or **within 12 months**, whichever is longer; otherwise non-current.
Eg: cycle 10 months, received in 14 months = Non-current. Cycle 15 months, received in 14 months = Current.

Cost of Materials Consumed

= Opening inventory of materials + Purchases of materials - Closing inventory of materials
Ignore WIP, finished goods and stock-in-trade.

Revenue from operations = Sales - Sales return (+ other operating revenue)
Total revenue = Revenue from operations + Other income

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Tools for Financial Statement Analysis

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Comparison of Financial Statements

- An **analytical study** of the items in the Income Statement and Position Statement (Balance Sheet) **over a period of time**.

It refers to:

- Financial statements of an enterprise for **two or more accounting years**.
- Financial statements of **different enterprises** for the same accounting year.

Comparative Statements

- Show profitability and financial position of a firm for **different periods** in comparative form, giving an idea of the position over two or more periods.
- Usually applied to the **Balance Sheet** and **Income Statement**. Data is comparable only when the **same accounting principles** are used.
- Comparative figures indicate the **trend and direction** of financial position and operating results.
- Also known as **Horizontal Analysis**.
- Columns are given for the current year, the previous year and the **changes during the year in absolute and relative terms**.

Absolute change (Rs.) = Current year (CY) figure - Previous year (PY) figure
Relative change (%) = Absolute change / PY figure x 100
Negative amounts and negative percentages are marked in brackets.

Steps to Prepare

- Re-write the balance sheet / income statement for the two periods **in the same format**. Add two columns on the right: **Absolute change (Rs.)** and **Relative change (%)**.
- Absolute change column: fill **CY figure minus PY figure** for each head.
- Relative change column: fill **Absolute change / PY figure x 100** for each head.

Importance

- Makes the data simple and more understandable.
- Indicates the **trend** with respect to the previous year.
- Compares the firm's performance with other firms in the same business.

Comparative Income Statement of XYZ Ltd

Particulars	CY (i)	PY (j)	Abs. chg (k)	Rel. chg (l)
1 Revenue from operations	xx	xx	i-j	k/j*100
2 Other incomes	xx	xx	i-j	k/j*100
3 Total revenue (1+2)	xx	xx	i-j	k/j*100
4 Expenses				
(a) Cost of materials consumed	xx	xx	i-j	k/j*100
(b) Purchases of stock-in-trade	xx	xx	i-j	k/j*100
(c) Changes in inventories	xx	xx	i-j	k/j*100
(d) Employee benefits expense	xx	xx	i-j	k/j*100
(e) Finance costs	xx	xx	i-j	k/j*100
(f) Depreciation & amortization	xx	xx	i-j	k/j*100
(g) Other expenses	xx	xx	i-j	k/j*100
Total expenses	xx	xx	i-j	k/j*100
5 Profit/(Loss) before tax (3 - 4)	xx	xx	i-j	k/j*100
6 Tax expense	xx	xx	i-j	k/j*100
7 Profit/(Loss) after tax (5 - 6)	xx	xx	i-j	k/j*100

Comparative Balance Sheet of XYZ Ltd

Particulars	CY (i)	PY (j)	Abs. chg (k)	Rel. chg (l)
A. EQUITY AND LIABILITIES				
1 Shareholders' funds				
(a) Share capital	xx	xx	i-j	k/j*100
(b) Reserves and surplus	xx	xx	i-j	k/j*100
Total	xx	xx	i-j	k/j*100
2 Share application money pending allotment	xx	xx	i-j	k/j*100
3 Non-current liabilities				
(a) Long-term borrowings	xx	xx	i-j	k/j*100
(b) Deferred tax liabilities (net)	xx	xx	i-j	k/j*100
(c) Other long-term liabilities	xx	xx	i-j	k/j*100
(d) Long-term provisions	xx	xx	i-j	k/j*100
Total	xx	xx	i-j	k/j*100
4 Current liabilities				
(a) Short-term borrowings	xx	xx	i-j	k/j*100
(b) Trade payables	xx	xx	i-j	k/j*100
(c) Other current liabilities	xx	xx	i-j	k/j*100
(d) Short-term provisions	xx	xx	i-j	k/j*100
Total	xx	xx	i-j	k/j*100
TOTAL (A)	xx	xx	i-j	k/j*100
B. ASSETS				
1 Non-current assets				
(a) PPE and Intangible assets	xx	xx	i-j	k/j*100
(b) Non-current investments	xx	xx	i-j	k/j*100
(c) Long-term loans & advances	xx	xx	i-j	k/j*100
(d) Deferred tax assets (net)	xx	xx	i-j	k/j*100
(e) Other non-current assets	xx	xx	i-j	k/j*100
Total	xx	xx	i-j	k/j*100
2 Current assets				
(a) Current investments	xx	xx	i-j	k/j*100
(b) Inventories	xx	xx	i-j	k/j*100
(c) Trade receivables	xx	xx	i-j	k/j*100
(d) Cash and cash equivalents	xx	xx	i-j	k/j*100
(e) Short-term loans & advances	xx	xx	i-j	k/j*100
(f) Other current assets	xx	xx	i-j	k/j*100
Total	xx	xx	i-j	k/j*100
TOTAL (B)	xx	xx	i-j	k/j*100

Worked Example: Comparative P&L

Revenue from operations 6,00,000 (2023) and 9,00,000 (2024); Other income 1,20,000 and 1,08,000; Cost of materials 3,00,000 and 5,40,000; Other expenses 60,000 and 90,000; Tax rate 30%.

Particulars	2023	2024	Abs. chg	% chg
Revenue from operations	6,00,000	9,00,000	3,00,000	50%
Other income	1,20,000	1,08,000	(12,000)	(10%)
Total revenue	7,20,000	10,08,000	2,88,000	40%
Cost of materials	3,00,000	5,40,000	2,40,000	80%
Other expenses	60,000	90,000	30,000	50%
Total expenses	3,60,000	6,30,000	2,70,000	75%
Profit before tax	3,60,000	3,78,000	18,000	5%
Tax (30%)	1,08,000	1,13,400	5,400	5%
Profit after tax	2,52,000	2,64,600	12,600	5%

Common Size Statements

- Show the relationship of different items of a financial statement with a **common item**, by expressing each item as a **percentage of that common item**.
- Also called a **component percentage statement**; also known as **Vertical Analysis**.
- Percentages can be compared with the previous year or with other firms, as numbers are brought to a **common base**.
- Allow comparison of operating and financing characteristics of companies of **different sizes** in the same industry.
- Useful for both **intra-firm** (different years) and **inter-firm** comparison; shows the structure of the financial statements and changes in percentages over time.

Common size balance sheet: each asset as % of **total assets**; each liability as % of **total liabilities**.
Common size income statement: each item as % of **net sales (revenue from operations)**.

Steps to Prepare

- Re-write the balance sheet / income statement for the two periods in the same format. Add a **'Percentage Figures'** column next to each year.
- Choose a common base **'100'**: **total of assets / liabilities** for the balance sheet; **total sales revenue** for the income statement.
- In the percentage column, write each item's **percentage to the common base of its own year**.

Importance

- Gives a common base for comparison **irrespective of the size** of individual items.
- Presents the change in items relative to net sales, total assets or total liabilities.
- Establishes the **trend** in various items of financial statements.

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Common-size Income Statement of XYZ Ltd

Particulars	CY (i)	%	PY (j)	%
1 Revenue from operations	xx	%	xx	%
2 Other incomes	xx	%	xx	%
3 Total revenue (1+2)	xx	%	xx	%
4 Expenses				
(a) Cost of materials consumed	xx	%	xx	%
(b) Purchases of stock-in-trade	xx	%	xx	%
(c) Changes in inventories	xx	%	xx	%
(d) Employee benefits expense	xx	%	xx	%
(e) Finance costs	xx	%	xx	%
(f) Depreciation & amortization	xx	%	xx	%
(g) Other expenses	xx	%	xx	%
Total expenses	xx	%	xx	%
5 Profit/(Loss) before tax (3 - 4)	xx	%	xx	%
6 Tax expense	xx	%	xx	%
7 Profit/(Loss) after tax (5 - 6)	xx	%	xx	%

Common-size Balance Sheet of XYZ Ltd

Particulars	CY (i)	%	PY (j)	%
A. EQUITY AND LIABILITIES				
1 Shareholders' funds				
(a) Share capital	xx	%	xx	%
(b) Reserves and surplus	xx	%	xx	%
Total	xx	%	xx	%
2 Share application money pending allotment	xx	%	xx	%
3 Non-current liabilities				
(a) Long-term borrowings	xx	%	xx	%
(b) Deferred tax liabilities (net)	xx	%	xx	%
(c) Other long-term liabilities	xx	%	xx	%
(d) Long-term provisions	xx	%	xx	%
Total	xx	%	xx	%
4 Current liabilities				
(a) Short-term borrowings	xx	%	xx	%
(b) Trade payables	xx	%	xx	%
(c) Other current liabilities	xx	%	xx	%
(d) Short-term provisions	xx	%	xx	%
Total	xx	%	xx	%
TOTAL (A)	xx	%	xx	%
B. ASSETS				
1 Non-current assets				
(a) PPE and Intangible assets	xx	%	xx	%
(b) Non-current investments	xx	%	xx	%
(c) Long-term loans & advances	xx	%	xx	%
(d) Deferred tax assets (net)	xx	%	xx	%
(e) Other non-current assets	xx	%	xx	%
Total	xx	%	xx	%
2 Current assets				
(a) Current investments	xx	%	xx	%
(b) Inventories	xx	%	xx	%
(c) Trade receivables	xx	%	xx	%
(d) Cash and cash equivalents	xx	%	xx	%
(e) Short-term loans & advances	xx	%	xx	%
(f) Other current assets	xx	%	xx	%
Total	xx	%	xx	%
TOTAL (B)	xx	%	xx	%

Worked Example: Common Size Balance Sheet

Shareholders' fund 7,20,000 (2023) and 13,32,000 (2024); Non-current liabilities 3,60,000 and 3,60,000; Current liabilities 1,20,000 and 1,08,000; Non-current assets 8,40,000 and 15,12,000; Current assets 3,60,000 and 2,88,000.

Particulars	2023	%	2024	%
Shareholders' fund	7,20,000	60%	13,32,000	74%
Non-current liabilities	3,60,000	30%	3,60,000	20%
Current liabilities	1,20,000	10%	1,08,000	6%
Total	12,00,000	100%	18,00,000	100%
Non-current assets	8,40,000	70%	15,12,000	84%
Current assets	3,60,000	30%	2,88,000	16%
Total	12,00,000	100%	18,00,000	100%

Worked Example: Common Size P&L

Revenue from operations 12,00,000 (2023) and 18,00,000 (2024); Other income 2,40,000 and 2,16,000; Expenses 7,20,000 and 12,60,000; Tax rate 50%.

Particulars	2023	%	2024	%
Revenue from operations	12,00,000	100%	18,00,000	100%
Other income	2,40,000	20%	2,16,000	12%
Total revenue	14,40,000	120%	20,16,000	112%
Expenses	7,20,000	60%	12,60,000	70%
Profit before tax	7,20,000	60%	7,56,000	42%
Tax (50%)	3,60,000	30%	3,78,000	21%
Profit after tax	3,60,000	30%	3,78,000	21%

Comparative vs Common Size

Basis	Comparative	Common size
Also called	Horizontal analysis	Vertical analysis
Base	Previous year figure	Total assets / total liabilities (BS); net sales or revenue from operations (P&L) = 100
Shows	Absolute (Rs.) and relative (%) change between years	Each item as % of the common base in a given year
Formula	Abs. = CY - PY Rel. = Abs. / PY x 100	Item / Base x 100
Use	Trend and direction of change	Structure of statements; compare firms of different sizes

Tips for Solving Numericals

- **PBT** = Total revenue - Total expenses. **PAT** = PBT - Tax (tax = PBT x tax rate).
- When items are given as **percentages** (eg other income as % of operating revenue, or revenue as % of cost of materials), convert them into **rupee amounts first**, then prepare the statement.
- In a comparative statement, the denominator is always the **previous year**. Show decreases in **brackets**.
- In a common size P&L, the base (100) is **revenue from operations**; in a balance sheet, it is the **total** of each year.
- Check that both years of a common size balance sheet total **100%** on the liabilities and assets sides.

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Financial Ratios - Analysis

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Ratio Analysis: Introduction

- A **ratio** is a mathematical number showing the relationship of two or more numbers; expressed as a fraction, proportion, percentage or number of times.
- Accuracy of the numbers matters: any error distorts the ratio. Ratios must be calculated on **meaningfully correlated** figures; unrelated numbers serve no purpose.
- Ratio analysis points out the areas that **require investigation**. It involves regrouping of data under the rules used to prepare financial statements.

Objectives / Uses

- **Simplifies** complex accounting information into meaningful relationships for management decisions.
- Indicates the areas of the business that need **more attention**.
- Shows potential areas that can be **improved** with effort.
- Gives a deeper analysis of **profitability, liquidity, solvency and efficiency**.
- Allows **cross-sectional analysis**: comparison with the best industry standards.
- Helps in making **projections and estimates** for the future.

Limitations of Ratio Analysis

- **Means, not the end:** ratios only indicate the state of business; they do not decide its health.
- **No universal standards:** there is no benchmark for ideal ratios, so comparison is limited.
- **Cannot resolve problems:** they flag problem areas (whistle-blowing) but offer no solution.
- **Unrelated figures** give a meaningless ratio.
- **No standard definitions:** eg 'liquid liabilities' may or may not exclude bank overdraft.
- **Limits of accounting data:** facts, conventions, estimates and judgments mean ratios may not show the true picture.
- **Ignore non-monetary aspects** affecting the business.
- **Ignore price-level changes:** based on the stable money measurement principle, so multi-year comparison can mislead.
- **Variations in accounting practices** (stock valuation, depreciation, intangibles) block valid comparison between firms.
- **Forecasting** on historical analysis alone is not feasible; non-financial factors matter too.

Types of Ratios

Group	Purpose	Ratios
A. Liquidity	Short-term solvency	Current ratio; Quick (acid test) ratio
B. Solvency	Long-term solvency	Debt-equity; Total assets to debt; Proprietary; Interest coverage; Debt to capital employed
C. Turnover / activity	Efficiency in using resources	Fixed asset; Working capital; Capital employed; Inventory; Debtors; Creditors turnover; Collection and payment periods
D. Profitability	Earning power	Gross profit; Operating profit; Operating ratio; Net profit; ROI

A. Liquidity Ratios (Short-term Solvency)

1. Current Ratio

Current Assets / Current Liabilities

Current assets: Inventories + Debtors + Cash & bank + Receivables/accruals + Short-term loans + Marketable investments

Current liabilities: Sundry creditors (goods) + Outstanding expenses + Short-term loans & advances + Bank overdraft / cash credit + Provision for taxation + Unclaimed dividend

Significance: Ability to repay short-term commitments promptly. **Ideal 2:1**; minimum acceptable **1.33:1**. A very high ratio means idle current assets.

2. Quick Ratio (Acid Test / Liquid Ratio)

Quick Assets / Current Liabilities

Quick assets: Current assets **less inventories less prepaid expenses**

Denominator: Current liabilities

Significance: Ability to meet **immediate** liabilities. **Ideal 1:1**.

Working capital = Current assets - Current liabilities.
Quick (liquid) assets = Current assets - Inventory - Prepaid expenses.

B. Long-term Solvency Ratios

1. Debt-Equity Ratio

Debt / Equity

Debt: Long-term borrowed funds: debentures, long-term loans from institutions

Equity: Equity share capital + Preference share capital + Reserves & surplus **less accumulated losses** (and fictitious assets)

Significance: Relationship between debt and equity. **Ideal 2:1**.

2. Total Assets to Debt Ratio

Total Assets / Debt

Total assets: Net fixed assets + Total current assets

Debt: Long-term borrowed funds (debentures, long-term loans)

Significance: Level of **security** that lenders have for funds advanced.

3. Proprietary Ratio

Proprietary Funds / Total Assets

Proprietary funds: Equity share capital + Preference share capital + Reserves & surplus less accumulated losses

Total assets: Net fixed assets + Total current assets

Significance: Extent of **owners' funds** used in financing assets.

4. Interest Coverage Ratio

Net Profit before Interest & Tax / Interest on Long-term Debt

Numerator: Net profit after tax + Tax + Interest on long-term loans + Interest on debentures

Denominator: Interest on long-term loans + Interest on debentures

Significance: Number of times interest is covered by profits. **Higher is better**.

5. Debt to Capital Employed Ratio

Debt / Capital Employed

Capital employed: Debt + Equity (less goodwill, non-trade investments and fictitious assets); **or** Non-current assets + Current assets - Current liabilities (same exclusions)

Significance: Share of long-term debt in capital employed. **Low ratio = more security** to lenders; high ratio = less security.

C. Turnover / Activity Ratios

1. Fixed Asset Turnover

Turnover / Net Fixed Assets

Turnover: Sales net of returns

Net fixed assets: Fixed assets - Accumulated depreciation

Significance: Sales generated per rupee of fixed assets.

2. Working Capital Turnover

Turnover (or COGS) / Net Working Capital

Numerator: Sales net of returns (or COGS)

Net working capital: Current assets - Current liabilities

Significance: Sales generated per rupee of net working capital.

3. Net Assets / Capital Employed Turnover

Turnover / Net Assets (Capital Employed)

Numerator: Sales net of returns

Significance: Sales generated per rupee of capital employed or net assets.

4. Inventory (Stock) Turnover Ratio

Cost of Goods Sold / Average Stock

COGS (manufacturer): Opening stock + Cost of production - Closing stock

COGS (trader): Opening stock + Purchases + Direct expenses - Closing stock

Average stock: (Opening + Closing stock) / 2, or (Max. + Min. stock) / 2

Note: If COGS is not available, net sales may be used.

Significance: How fast inventory is used / sold. **High** = fast moving; **low** = dead or excessive stock.

5. Trade Receivables (Debtors) Turnover

Net Credit Sales / Average Accounts Receivable

Numerator: Credit sales net of returns

Accounts receivable: Debtors + Bills receivable; Average = (Opening + Closing) / 2

Significance: Speed of collection of credit sales.

6. Average Collection Period

365 / 12 / 52 divided by Debtors Turnover Ratio

Result: Time in days / months / weeks

Significance: Average time within which the amount is recovered from debtors.

7. Trade Payables (Creditors) Turnover

Net Credit Purchases / Average Accounts Payable

Numerator: Credit purchases net of returns

Accounts payable: Creditors + Bills payable; Average = (Opening + Closing) / 2

Significance: Velocity of debt payment.

8. Average Payment Period

365 / 12 / 52 divided by Creditors Turnover Ratio

Result: Time in days / months / weeks

Significance: Average time within which creditors are paid.

D. Profitability Ratios

1. Gross Profit Ratio

Gross Profit / Net Sales x 100

Gross profit: As per trading account

Net sales: Sales net of returns

Significance: Indicator of **basic profitability**.

2. Operating Profit Ratio

Operating Profit / Net Sales x 100

Operating profit: Sales - Cost of sales; **or** Sales - COGS - Other operating expenses; **or** Net profit + Non-operating expenses - Non-operating incomes

Significance: Indicator of **operating performance** of the business.

3. Operating Ratio

(COGS + Operating Expenses) / Net Sales x 100

Numerator: (Op. stock + Net purchases + Direct exp. - Cl. stock) + Administration exp. + Selling & distribution exp. + Interest on short-term borrowing

Significance: Operational efficiency compared with the industry.

Operating profit ratio + Operating ratio = 100

4. Net Profit Ratio

Net Profit / Net Sales x 100

Significance: Indicator of **overall profitability**.

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5. Return on Investment (ROI / ROCE)

EBIT / Total Capital Employed x 100

EBIT: Profit after tax + Tax + Interest + Non-trading expenses - Non-operating incomes (rent, interest, dividend)

Capital employed (asset route): Net fixed assets (including intangibles like patents, **not** fictitious assets) + Net working capital

Capital employed (liability route): Equity share capital + Preference share capital + Reserves & surplus + Debentures and long-term loans, **less** accumulated losses, non-trade investments and goodwill

Significance: Overall profitability on total capital employed. If **ROCE > interest rate** on debt, use of debt funds is justified (financial leverage).

Effect of Transactions on Ratios

Current Ratio (when ratio is above 1)

Transaction	Effect
Payment of trade payables / current liabilities	Improves
Issue of shares for cash	Improves
Sale of goods at a profit	Improves
Sale of furniture / machinery for cash	Improves
Sale of machinery on 5 months' credit	Improves
Sale of goods at a loss	Reduces
Purchase of goods on credit	Reduces
Purchase of building on 4 months' credit	Reduces
Purchase of machinery / car / fixed asset for cash	Reduces
Repayment of long-term loan; redemption of debentures	Reduces
Collection from debtors; sale of goods at cost	No change
Purchase of goods for cash	No change
Bills receivable dishonoured	No change
Fixed asset bought / sold on long-term deferred payment	No change
Machinery bought against long-term loan; shares issued for building	No change

If the current ratio is below 1 (eg 0.8:1) the effects of paying current liabilities and buying goods on credit **reverse**: paying liabilities (eg outstanding expenses, dividend) **reduces** it; purchase on credit **improves** it.

Debt-Equity Ratio

Transaction	Effect
Issue of equity or preference shares	Decreases
Repayment of long-term loan / bank loan	Decreases
Sale of fixed asset at a profit	Decreases
Buy-back of own shares	Increases
Issue of debentures	Increases
Sale of fixed asset at a loss	Increases
Purchase of fixed asset on long-term deferred payment	Increases
Sale of fixed asset at par	No change
Cash received from debtors; sale of goods for cash	No change
Purchase of goods / fixed asset on short credit	No change

Proprietary Ratio

Transaction	Effect
Long-term loan obtained from a bank	Declines
Redemption of preference shares	Declines
Redemption of debentures	Improves
Equity shares issued to vendor of building	Improves
Machinery purchased by cheque	No change

Worked Examples

Current & quick ratio from given ratios
Current ratio 3:1; Working capital Rs. 4,00,000; Inventory Rs. 2,50,000.
CA - CL = 4,00,000 and CA = 3 x CL, so 2 x CL = 4,00,000.
CL = 2,00,000; CA = 6,00,000.
Quick ratio = (6,00,000 - 2,50,000) / 2,00,000 = **1.75:1**

Debt-equity ratio
Equity share capital 2,00,000; General reserve 1,60,000; 10% Debentures 1,50,000; Current liabilities 1,00,000; Preliminary expenses 10,000.
Debt = 1,50,000 (current liabilities are not debt).
Equity = 2,00,000 + 1,60,000 - 10,000 (fictitious asset) = 3,50,000.
Debt-equity = 1,50,000 / 3,50,000 = **0.43:1**

Interest coverage ratio
Net profit after interest and tax 1,20,000; Tax rate 50%; 15% Debentures 1,00,000; 12% Mortgage loan 1,00,000.
Profit before tax = 1,20,000 / (1 - 0.5) = 2,40,000.
Interest = 15,000 + 12,000 = 27,000.
Profit before interest and tax = 2,40,000 + 27,000 = 2,67,000.
Interest coverage = 2,67,000 / 27,000 = **9.89 times**

Inventory turnover ratio
Opening inventory 92,400; Closing inventory 67,600; Purchases 2,75,200; Sales 5,00,000; Return inwards 20,000.
COGS = 92,400 + 2,75,200 - 67,600 = 3,00,000.
Average inventory = (92,400 + 67,600) / 2 = 80,000.
Inventory turnover = 3,00,000 / 80,000 = **3.75 times**

Tips for Solving Numericals

- **Ratios in the form a:b** - let current liabilities = x, then current assets = ratio x x; use the given working capital (CA - CL) to find x.
- **Liquid / quick assets** exclude inventory and prepaid expenses. Loose tools and stores are treated as inventory.
- **Fictitious assets** (preliminary expenses, underwriting commission, share issue expenses, debit balance of P&L) are **deducted from equity** and excluded from total assets.
- **Debt** means long-term borrowings only (debentures, long-term loans); current liabilities and trade payables are not debt.
- **Preference share capital** counts as part of equity (proprietary funds).
- If a **tax rate** is given with net profit after tax, first gross up: PBT = PAT / (1 - tax rate).
- **Turnover ratios** use **average** balances where opening and closing figures are given; use **net** sales (after returns inwards) and net purchases (after returns outwards).
- Quote ratios in the form **x:1** (liquidity, solvency), **%** (profitability) or **times** (turnover).

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Cash Flow Statement

Accountancy | Book 3 | Chapter 12 | Revision Notes

Cash Flow Statement (AS-3)

- **Cash flow statement** shows the **inflows and outflows of cash and cash equivalents** from the activities of a company during a specific period.
- Its primary objective is to give information about cash flows under **operating, investing and financing activities**.
- Helps users assess the **ability of the enterprise to generate cash and cash equivalents**, and the timing and certainty of that generation.

Cash = cash in hand + demand deposits with banks.
Cash equivalents = **short-term, highly liquid investments** readily convertible into known amounts of cash, with insignificant risk of change in value. Held to meet short-term cash commitments, not for investment.

- **Cash flows** = movement of cash **in and out**. Cash receipt from a non-cash item is an inflow; cash payment for such an item is an outflow. Eg: purchase of machinery for cash = outflow; collection from debtors = inflow.
- Movements **between** cash and cash equivalents are **not** cash flows (cash management). So purchase of marketable securities / short-term investments that are cash equivalents is ignored.

Three Types of Activities

Activity	Inflows	Outflows
Operating (principal revenue-producing)	Cash sales of goods; rendering of services; royalties, fees, commissions and other revenues	Payments to suppliers for goods and services; to employees; insurance premiums and claims; **income tax** (unless linked to investing / financing)
Investing (fixed assets and investments)	Sale of fixed assets incl. intangibles; repayment of loans / advances made to others; sale of shares / debt instruments of other firms; **interest and dividend received**	Purchase of fixed assets incl. intangibles and capitalised R&D; purchase of shares / debt instruments of other firms; advances and loans to third parties
Financing (owners' capital and borrowings)	Issue of shares; issue of debentures, loans, bonds and other short / long-term borrowings	Repayment of borrowings; **interest paid**; **dividends paid** on equity and preference capital

Pro-forma: Cash Flow Statement

(indirect method)

Particulars	Rs.
A. Cash flow from operating activities	
Net profit after tax and extraordinary items	xxx
+ Provision for tax made during the year (net of refund)	xxx
- Extraordinary gains (eg insurance claim); + extraordinary losses	xxx
Net profit before tax and extraordinary items	XXX
Non-cash items (add back)	
+ Transfer to reserves (- transfer from reserves)	xxx
+ Depreciation	xxx
+ Intangibles written off (goodwill, patents, copyright)	xxx
+ Share issue / preliminary expenses written off	xxx
Non-operating items	
Add expenses booked: interest on loans / debentures; dividends paid; premium on redemption of debentures / preference shares; loss on sale of investments / fixed assets	xxx
Less incomes booked: interest / dividend income; profit on sale of investments / fixed assets; rent and other investment income	xxx
Operating profit before working capital changes	XXX
+ Increase in current liabilities; + Decrease in current assets	xxx
- Increase in current assets; - Decrease in current liabilities	xxx
Particulars	**Rs.**
Cash flow from operations before tax and extraordinary items	XXX
+/- Extraordinary items (eg insurance claim)	xxx
- Tax paid during the year (net of refund)	xxx
Net cash from operating activities (A)	XXXX
B. Cash flow from investing activities	
+ Sale of fixed assets / investments	xxx
+ Interest / dividend received on investments	xxx
+ Rent or other income from investments	xxx
- Purchase of fixed assets / investments	xxx
Net cash from investing activities (B)	XXXX
C. Cash flow from financing activities	
+ Issue of share capital (equity and preference)	xxx
+ Loans from banks / FIs / public deposits; + issue of debentures	xxx
- Redemption of preference shares, repayment of loans, redemption of debentures	xxx
- Dividend paid (interim or final); - interest paid	xxx
Net cash from financing activities (C)	XXXX
D. Net cash flow from all activities (A + B + C)	XXXX
E. + Opening cash and cash equivalents (incl. marketable investments)	xxx
F. = Closing cash and cash equivalents	XXXX

Important Notes

1. Bonus Shares

- Fully paid bonus shares by capitalising reserves bring **no cash**, so there is **no cash flow**. Ignore them.

2. Provision for Tax

- An estimate of the tax liability for the current year. When opening and closing balances are given, **current-year provision is added back** to find net profit before tax; the previous year's provision is taken as **paid in the current year**.
- If a **refund of tax** is given, net it off from the provision made and from tax paid (refund is credited to P&L and is a cash inflow).

Dr. Provision for Tax A/c	Cr.
To Bank (tax paid)	By Opening balance
To P&L (excess provision written back)	By P&L (provision made)
To Closing balance	

Provision made = Closing + Tax paid - Opening.
If tax paid is not given: tax paid = opening balance, provision made = closing balance.

3. Proposed Dividend (AS-4)

- Proposed dividend is **not provided** in the books; it is shown in Notes to Accounts as a **contingent liability**. It is an appropriation, deducted from surplus in the year it is **paid**.
- **Previous year's** proposed dividend = **outflow in financing activities** (assumed approved at the AGM and paid in the current year, unless stated otherwise).
- **Current year's** proposed dividend: **no effect**; only a contingent liability.

4. Extraordinary Items

- Non-recurring (eg loss by theft, earthquake, flood). Disclosed **separately** and classified under operating, investing or financing as appropriate. Insurance claim received is shown separately.

5. Interest and Dividend

Enterprise	Interest / dividend paid	Interest / dividend received
Financial (lending / borrowing is main business)	Interest paid: **operating**; dividend paid: financing	**Operating**
Non-financial	**Financing**	**Investing**

6. Taxes on Income and Gains

- Income tax, capital gains tax and dividend tax are disclosed **separately** and classified under **operating activities**, unless specifically linked to investing or financing.

7. Assumptions

- **Current investments**, unless specified otherwise, are **marketable securities** and included in cash and cash equivalents.
- **Bank overdraft and cash credit** are treated as **borrowings** (financing activity) even if shown under current liabilities (as per CBSE).
- **Goodwill decreases** (amortised): add back in operating activities. **Goodwill increases**: cash paid for purchase of goodwill is an **investing** outflow, not operating.

8. Fixed Assets Account

Net basis: Dr.	Cr.
Opening balance	Depreciation
Bank (purchase)	Bank (sale)
Profit on sale	Loss on sale
	Closing balance

Gross basis: Fixed Asset A/c Dr.	Cr.
Opening balance	Provision for depreciation
Bank (purchase)	Bank (sale)
Profit on sale	Loss on sale
	Closing balance
Provision for Depreciation A/c Dr.	**Cr.**
Fixed asset (on sale)	Opening balance
Closing balance	Depreciation (P&L)

Purchase of asset (net basis) = Closing + Depreciation + Book value of asset sold - Opening.
Profit / loss on sale = Sale proceeds - Book value of asset sold.

Uses of Cash Flow Statement

- **Short-term financial planning:** useful information for short-term decisions.
- **Cash budget:** helps management prepare a budget of estimated receipts and payments; compare budget with the statement to see how sources were generated and used as planned.
- **Understanding liquidity:** shows where cash will come from to pay liabilities.
- **Prediction of sickness:** reveals cash losses in operations.
- **Dividend decisions:** shows the sources of cash to pay dividend to shareholders.

Quick Classification Guide

Item	Activity
Cash sales; cash from debtors; commission / trading commission received; income tax refund	Operating
Cash purchases; paid to suppliers / creditors; services taken; wages, salaries; office and admin, selling and distribution, manufacturing exp.; rent paid; discount allowed / received	Operating
Income tax paid (incl. on gains)	Operating
Purchase / sale of machinery, building, land, furniture	Investing
Purchase / sale of investments; goodwill; patents (incl. permission fee for patent)	Investing
Interest / dividend received on investments; rent received on property let out	Investing
Brokerage paid on purchase of investments	Investing
Issue of shares / debentures; borrowings	Financing
Redemption of preference shares / debentures; repayment of loans	Financing
Interest paid on borrowings / debentures; dividend paid (interim, final, preference)	Financing
Brokerage and underwriting commission paid on issue of shares	Financing
Bank overdraft; cash credit	Financing
Short-term deposits; marketable securities	Cash equivalents
Bonus shares; proposed dividend; purchase of asset against shares / debentures / long-term credit; cash withdrawn from bank	No cash flow

For a non-financial company; interest and dividend follow the table in Note 5.

Worked Examples

1. Operating, investing, financing together

Plant 5,00,000 (2024) vs 3,00,000 (2023); Share capital 6,00,000 vs 5,00,000; Surplus 4,00,000 vs 2,00,000; Trade payables 2,80,000 vs 1,80,000; Inventories 1,00,000 vs 1,50,000; Receivables 6,00,000 vs 4,00,000; Cash 80,000 vs 30,000. Old machinery (book value 50,000) sold for 60,000; depreciation 30,000.

Particulars	Rs.
A. Operating	
Net profit (change in surplus)	2,00,000
+ Depreciation	30,000
- Profit on sale of machinery (60,000 - 50,000)	(10,000)
Operating profit before WC changes	2,20,000
+ Increase in payables	1,00,000
+ Decrease in inventories	50,000
- Increase in receivables	(2,00,000)
Net cash from operating (A)	**1,70,000**
B. Investing	
Purchase of plant (see below)	(2,80,000)
Sale of machinery	60,000
Net cash used in investing (B)	**(2,20,000)**
C. Financing: issue of shares	**1,00,000**
Net increase (A+B+C)	**50,000**
Opening cash 30,000; **closing cash**	**80,000**

Plant purchased = 5,00,000 + 30,000 (dep.) + 50,000 (sold) - 3,00,000 = **2,80,000**

2. Investing: purchase from changes in WDV

Plant WDV 9,60,000 (1 Apr 2023) and 10,50,000 (31 Mar 2024); depreciation 35,000; a plant with WDV 30,000 sold for 45,000.

Particulars	Rs.
Purchase = 10,50,000 + 35,000 + 30,000 - 9,60,000	(1,55,000)
Sale of plant	45,000
Net cash used in investing	**(1,10,000)**

3. Investing from direct data

Machinery purchased 60,000; part of machinery (book value 2,000) sold for 8,000; equipment costing 20,000 sold for 25,000.

Particulars	Rs.
Purchase of machinery	(60,000)
Sale of machinery (8,000) and equipment (25,000)	33,000
Net cash used in investing	**(27,000)**

4. Financing

3,000 equity shares of Rs. 10 issued at par; 8% preference shares of Rs. 10,000 redeemed at 10% premium; dividend paid Rs. 5,000.

Particulars	Rs.
Issue of equity shares (3,000 x 10)	30,000
Redemption of preference shares (10,000 + 1,000 premium)	(11,000)
Dividend paid	(5,000)
Net cash from financing	**14,000**

5. Tax paid and provision (Note 2)

Surplus 1,00,000 (2024) vs 50,000 (2023); provision for tax 25,000 vs 20,000; tax paid 12,000.

Particulars	Rs.
Increase in surplus	50,000
+ Provision made = 25,000 + 12,000 - 20,000	17,000
Profit before tax	67,000
- Tax paid	(12,000)
Net cash from operating	**55,000**

Tips for Solving Numericals

- **Net profit before tax and extraordinary items** = Closing surplus - Opening surplus + Transfer to reserves + Interim dividend + Previous year's proposed dividend + Provision for tax of the year (+/- extraordinary items).
- **Reserves:** if general reserve is part of reserves and surplus, the increase in it is the transfer to reserve (add back). A debit balance of P&L is a negative surplus.
- **Working capital changes** use only current assets and liabilities **other than cash and cash equivalents**. Include provision for doubtful debts changes through net receivables as given.
- **Depreciation** from accumulated depreciation: Opening + Depreciation - Depreciation on assets sold = Closing.
- **Debenture interest / loan interest** is added back in operating and deducted in financing. Similarly interest on investments is deducted in operating and added in investing.
- **Premium on redemption** of preference shares / debentures: add back in operating; show redemption **plus premium** as a financing outflow.
- **Bonus shares, assets bought against shares / debentures / long-term credit** are non-cash: leave them out of all three activities.
- **Check:** A + B + C must equal closing cash and cash equivalents minus opening cash and cash equivalents.

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